

emption limit and tax payable with what prevailed during the terms of his Congress predecessors.

True, the Budget had no shortage of critics. Congress leader Rahul Gandhi likened the Budget to a “band aid” to dress “bullet wounds.”

“The masses deserved money in their hands. That means GST (Goods and Services Tax) should have been cut or taxes on petrol and diesel should have been reduced,” former Finance Minister P. Chidambaram said at the *India Today-Business Today Budget Round Table 2025* on February 5.

Chidambaram cautioned: “The Finance Minister has put ₹1 lakh crore in the hands of taxpayers, but not all of it will go into consumption. Some will go into bank deposits, some to repay loans, and some on foreign travel. The question is how much of it will be actually spent to drive domestic consumption.”

Even so, by the time Sitharaman had completed her 74-minute Budget speech in Parliament, 10 million additional taxpayers had reason to celebrate. The finance minister had freed them of direct taxation.

In the 2023 Budget, the surcharge on individuals earning over ₹5 crore under the NTR had already been reduced from 37% to 25%. Now, with the latest increase in the maximum rebate under Section 87A of the Income-Tax Act, 1961, to ₹60,000, the new regime has become attractive both for middle-income earners and high-net-worth individuals (HNIs).

Beyond raising the exemption limit, the finance minister also revised tax slabs, leaving more money in taxpayers’ hands.

According to the revised rates, individuals earning between ₹24 lakh and ₹50 lakh can save up to ₹1.10 lakh (excluding cess). Those with an income of ₹20 lakh will save ₹90,000, and those earning

MORE MONEY IN HAND



SECTION 87A REBATE

Income up to ₹12 lakh is tax-free for resident individuals, with a rebate of ₹60,000. For salaried individuals, the limit is ₹12.75 lakh due to standard deduction



INCREASED EXEMPTION LIMIT

The basic exemption limit under the new tax regime has been raised from ₹3 lakh to ₹4 lakh



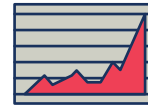
REVISED TAX SLABS

The first tax slab of 5% applies to income between ₹4 lakh and ₹8 lakh. The rate increases by 5% for every additional ₹4 lakh, with a 30% rate on income above ₹24 lakh



TAX SAVINGS FOR HIGHER INCOMES

Taxpayers earning ₹24-50 lakh can save up to ₹1.1 lakh; those earning up to ₹20 lakh can save ₹90,000



HIGHER TDS THRESHOLDS

The TDS threshold on dividend income has been raised from ₹5,000 to ₹10,000, and senior citizens benefit from a higher ₹1 lakh threshold on interest income



TCS THRESHOLD RAISED

The TCS threshold for remittances under the LRS has been increased from ₹7 lakh to ₹10 lakh



EDUCATION REMITTANCES

TCS on education-related remittances funded by a loan from a recognised financial institution has been removed



SELF-OCCUPIED PROPERTY

Taxpayers moving to a different city for reasons not related to employment can declare up to two properties as self-occupied



ULIP TAXATION

If the proceeds from ULIP redemption do not qualify for exemption u/s 10(10D), they will be taxed as capital gain

TDS ON RENT

The TDS threshold on non-residential property rent has been increased from ₹2.4 lakh to ₹6 lakh

